

LexAI — Contract Risk Intelligence Report

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Overall Risk Score

95/100

HIGH RISK

Overall Risk Level: HIGH RISK (Score: 95/100). This contract is heavily skewed against you. Do not sign without legal review. Found 2 high-risk clause(s) burdening you and 4 missing standard protection(s), including 1 critical gap(s). Contract type detected: SaaS Agreement.

Red Flags

- Non-Compete:** You may be blocked from working with other companies in your sector.
- Auto-Renewal:** This contract renews itself — you could be locked in for another year without realizing it.
- MISSING — Data Protection / Privacy:** This clause is crucial for defining how personal and sensitive data is handled, secured, and processed, protecting both parties from legal liabilities.

Per-Party Risk Dashboard

	Meridian Retail Pvt. Ltd.	NovaTech Solutions Pvt. Ltd.
Risk Score	95/100 (HIGH)	0/100 (LOW)
High-Risk Clauses	2	0
Medium-Risk Clauses	0	0
Favorable Clauses	0	0

Identified Risk Clauses

[HIGH] Non-Compete — Burden: Client

Plain language: You may be blocked from working with other companies in your sector.

"Client shall not use the Platform to develop a competing product or service...."

Recommendation: Limit scope (geography, duration, industry). Broad non-competes are often unenforceable in India.

[HIGH] Auto-Renewal — Burden: Both

Plain language: This contract renews itself — you could be locked in for another year without realizing it.

"This Agreement shall automatically renew for successive periods of twelve (12) months (each a "Renewal Term") unless either party provides written notice of non-renewal at least ni..."

Recommendation: Add a notice period (30–60 days) for non-renewal and ensure opt-out rights.

[LOW] Confidentiality — Burden: Both

Plain language: Both parties agree to keep each other's sensitive information private.

""Confidential Information" means any non-public technical, business, financial, or operational information disclosed by either party, whether marked confidential or not, if a reaso..."

Recommendation: Standard clause — verify it covers your key business information and has reasonable duration.

Missing Standard Protections

Clause	Severity	Why It Matters
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Data Protection / Privacy	CRITICAL	This clause is crucial for defining how personal and sensitive data is handled, secured, and processed, protecting both parties from legal liabilities.
Dispute Resolution / Arbitration	HIGH	While court jurisdiction is mentioned, the absence of an arbitration clause means parties cannot opt for a potentially faster, more cost-effective, and confidential dispute resolution mechanism.
Warranty / Service Levels	HIGH	Without warranties or service level agreements, the client lacks contractual assurances regarding the quality, performance, availability, and support of the services, leaving them vulnerable to service degradation.
Force Majeure	MEDIUM	This clause protects parties from liability for non-performance due to unforeseeable and uncontrollable events, preventing breaches when circumstances are beyond their control.

■ This report is generated by LexAI for informational purposes only and does not constitute legal advice. Consult a qualified lawyer before signing any contract. Risk classification is grounded in the CUAD legal taxonomy (NeurIPS 2021) and Indian commercial law context.